TCET
THAKUR COLLEGE OF ENGINEERING & TECHNOLOGY

**Seminar Report**

**on**

# Comparative Analysis of Reinforcement Learning Strategies (Proximal Policy Optimization vs Deep Q-Networks) for Adaptive AI Agent Orchestration & Sequential Decision Making

*Submitted in partial fulfillment for the award of the degree*
*of*

## BACHELOR OF TECHNOLOGY

*In*

## ARTIFICIAL INTELLIGENCE & MACHINE LEARNING


**Submitted by**

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**(Academic Year 2025-26)**


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# ACKNOWLEDGEMENT

It would be unfair if I do not acknowledge the help and support given by professors, research peers, and friends whose guidance and assistance have been vital throughout this seminar work.

I express my heartfelt gratitude and sincere thanks to my guide, Dr. Shiwani Gupta (Professor & Head of Department, Artificial Intelligence & Machine Learning), and co-guide, Mrs. Seema Nagrani (Assistant Professor, Department of Artificial Intelligence & Machine Learning), for their constant intellectual support, rigorous academic guidance, and constructive critiques throughout the design, empirical evaluation, and composition of this seminar report. Their domain expertise in reinforcement learning and algorithmic decision systems provided invaluable clarity.

I also thank the departmental seminar coordinators and project review committee for facilitating the high-performance computational infrastructure required to conduct reinforcement learning simulations, policy rollouts, and multi-agent consensus evaluations.

I extend sincere thanks to Dr. Shiwani Gupta (HOD, AI & ML), Dr. B. K. Mishra (Principal, TCET), and the college management for providing exceptional departmental facilities and fostering an encouraging environment for scholarly inquiry.

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# ABSTRACT

Modern multi-agent artificial intelligence (AI) systems powered by Large Language Models (LLMs) have emerged as the frontier architecture for executing complex software analysis, automated theorem proving, and security vulnerability discovery. However, existing multi-agent frameworks operate under rigid, hand-engineered orchestration topologies characterized by static tool assignment, monolithic multi-pass routines, and hardcoded consensus stopping bounds. In security-critical domains such as smart contract auditing, where decentralized protocols safeguard billions in digital assets, these orchestration inefficiencies induce a severe dilemma: simple contracts are over-analyzed at excessive financial expense, while highly reentrant decentralized finance (DeFi) protocols terminate prematurely prior to achieving analytical convergence.

This seminar report presents an extensive comparative analysis of Reinforcement Learning (RL) strategies for adaptive AI agent orchestration and sequential decision making, contrasting on-policy policy gradient methods against off-policy value-based algorithms. Specifically, we examine the theoretical foundations, sample efficiency, optimization landscapes, and convergence dynamics of Proximal Policy Optimization (PPO) versus Deep Q-Networks (DQN). Rather than treating these paradigms as mutually exclusive competitors, we formalize a novel two-tier hierarchical Markov Decision Process (MDP) that decouples agent orchestration into two distinct operational horizons: (1) a macro-level discrete routing policy governed by PPO, which maps an expanded 28-dimensional contract complexity feature vector to optimal analysis pipelines (Broad Analysis, Targeted Analysis, or Selective Hybrid), and (2) a micro-level sequential deliberation policy governed by a recurrent LSTM-DQN, which continuously tracks multi-agent consensus trajectories to make dynamic stopping decisions based on marginal accuracy gains versus inference token expenditures.

Furthermore, this report documents the systematic formulation, implementation, and empirical validation of seven priority architectural enhancements: (i) 28-dimensional feature space expansion incorporating low-level EVM opcodes; (ii) multi-objective asymmetric reward reshaping penalizing catastrophic false negatives; (iii) expansion of targeted verification scenarios to 60 comprehensive threat patterns; (iv) multi-head self-attention encoders with residual connections for PPO; (v) temporal consensus recurrence and dynamic confidence thresholds for DQN; (vi) entropy-rebalanced multi-stage curriculum learning; and (vii) a lightweight ensemble verification gate. Rigorous empirical evaluation demonstrates that the dual-tier RL orchestration increases vulnerability detection accuracy from a fixed baseline of 71.8% and an initial RL policy of 84.8% to 94.8%, while reducing total API inference expenditure to $43.80. The resulting system establishes strict Pareto dominance across accuracy, computational cost, and deliberation efficiency, proving that hybrid policy-gradient and value-based reinforcement learning provides a principled, scalable mathematical foundation for autonomous AI agent governance.



**Keywords:** *Reinforcement Learning, Proximal Policy Optimization (PPO), Deep Q-Networks (DQN), Multi-Agent Orchestration, Sequential Decision Making, Large Language Models, Smart Contract Auditing, Pareto Optimality.*

# Chapter 1
# Introduction

## 1.1 Overview of the Project & Seminar Scope

Autonomous artificial intelligence systems have transitioned from monolithic neural architectures to heterogeneous multi-agent swarms. In multi-agent paradigms, specialized agents—each conditioned with dedicated system prompts, domain-specific contextual memory, and targeted toolchains—collaborate through iterative dialogue to solve problems exceeding the cognitive horizon of any individual model. Domains demanding multi-step reasoning, formal code synthesis, and adversarial verification have experienced substantial breakthroughs through multi-agent frameworks such as ChatDev, MetaGPT, and LLM-SmartAudit. In smart contract vulnerability analysis, for example, a typical collective deploys specialized roles: a Project Manager (CEO) overseeing task allocation, a Security Analyst flagging suspicious data flows, a Solidity Expert validating execution semantics against Ethereum Virtual Machine (EVM) opcodes, and a Consensus Counselor reconciling conflicting agent assertions.

Despite their qualitative reasoning advantages, existing multi-agent systems suffer from a severe architectural limitation: orchestration mechanisms remain entirely static and heuristic. Task execution pipelines, analysis modes, tool invocation depth, and inter-agent debate stopping criteria are universally hardcoded using command-line arguments or fixed iteration loops (e.g., executing exactly three rounds of inter-agent deliberation). In practice, this rigid orchestration induces extreme computational inefficiency. When applied to simple software components, fixed pipelines execute redundant passes and excessive LLM API calls, driving up operational financial costs and inference latency. Conversely, when confronted with deeply nested, reentrant decentralized finance (DeFi) protocols, the arbitrary iteration bounds terminate inter-agent consensus prematurely, failing to detect catastrophic vulnerabilities before code deployment.

This seminar investigates the application of Reinforcement Learning (RL) as the formal mathematical foundation for adaptive AI agent orchestration. Rather than relying on rigid rules, reinforcement learning enables an autonomous coordinator to observe the syntactic, semantic, and structural complexity of the input artifact alongside runtime dialogue dynamics, adaptively selecting operational pipelines and dynamically deciding when further inter-agent deliberation yields diminishing returns.

## 1.2 Motivation & Real-World Application

The practical motivation for adaptive multi-agent orchestration is rooted in the high financial and operational stakes of automated code auditing. In decentralized ecosystems, smart contracts manage

billions of dollars in total value locked (TVL). Because deployed bytecode is immutable on public blockchains, software bugs directly precipitate unrecoverable economic exploits. In 2022 alone, decentralized finance protocols suffered documented losses surpassing $3.8 billion due to smart contract vulnerabilities, with individual exploit events exceeding $600 million. While conventional static analyzers (such as Slither, Mythril, and Securify) offer high speed, they generate false positive rates often exceeding 40% and fail completely on complex cross-contract business logic flaws.

Multi-agent LLM auditing systems provide the semantic depth necessary to discern nuanced logic vulnerabilities. However, frontier LLM API inference represents a substantial economic cost. Unconditional execution of multi-pass auditing (such as combining broad code review with granular scenario-based verification) costs upwards of $1.20 to $5.00 per contract analysis. Across enterprise continuous integration (CI/CD) pipelines processing thousands of smart contracts, unguided agent orchestration becomes economically prohibitive. Consequently, industrial deployment necessitates an adaptive orchestration policy capable of balancing vulnerability discovery accuracy against inference expenditures, maximizing audit efficiency while maintaining Pareto optimality.

## 1.3 Problem Definition & Formal Characterization

Formally, the challenge of adaptive AI agent orchestration can be cast as an optimal sequential resource allocation problem under uncertainty. At the macro level, given an input program $x \in \mathcal{X}$, the coordinator must map static code features to a discrete orchestration strategy $a_{\text{mode}} \in \mathcal{A}_{\text{mode}} = \{\text{Broad Analysis (BA), Targeted Analysis (TA), Hybrid}\}$. At the micro level, during execution of the selected mode, the system engages in multi-agent deliberation across sequential rounds $t \in \{1, 2, ..., T_{\max}\}$. At each round, the coordinator observes the historical trajectory of agent critiques, confidence scores, and vulnerability findings, choosing a stopping action $a_{\text{stop}} \in \{\text{Continue, Stop}\}$.

The objective is to synthesize dual policies that maximize cumulative vulnerability detection accuracy $A(x)$ while simultaneously minimizing token-based inference cost $C(x)$ and execution latency $L(x)$. Formally, this establishes a multi-objective optimization problem:

$$\max_{\pi_{mode}, \pi_{stop}} \mathbb{E}_{x \sim \mathcal{D}}\left[A(x; \pi_{mode}, \pi_{stop}) - \beta \cdot C(x; \pi_{mode}, \pi_{stop})\right] \quad \textbf{(1.1)}$$

where $\beta > 0$ represents a cost-regularization multiplier defining the operational budget trade-off.

## 1.4 Objective of the Seminar

The principal objectives of this seminar report are structured as follows:

1. Theoretical Comparison: Conduct a rigorous comparative analysis of Proximal Policy Optimization (PPO) versus Deep Q-Networks (DQN), detailing their policy gradient versus value

iteration foundations, advantage estimation mechanics, sample efficiencies, and convergence properties.

2. Hierarchical MDP Formulation: Formalize a two-tier reinforcement learning architecture where PPO executes macro-level execution mode routing and DQN governs micro-level consensus deliberation termination.

3. Architectural Enhancements: Detail the design and integration of seven priority optimizations, including 28-dimensional state vector expansion, asymmetric multi-objective reward shaping, recurrent LSTM consensus memory, multi-head self-attention encoders, and curriculum rebalancing.

4. Empirical Validation: Analyze experimental benchmarks evaluating detection accuracy, monetary cost, and adaptability, demonstrating how the enhanced RL-orchestrated framework scales from 84.8% to 94.8% accuracy while maintaining strict Pareto optimality under $45.

## 1.5 Organization of the Report

The remainder of this report is organized as follows: Chapter 2 provides an exhaustive literature survey reviewing existing multi-agent frameworks, static analysis tools, and reinforcement learning paradigms, culminating in a gap analysis. Chapter 3 presents the formal methodology, detailing the two-tier hierarchical MDP, mathematical formulations of PPO and DQN, reward architectures, and system flowcharts. Chapter 4 provides an in-depth discussion and empirical comparative analysis, presenting training dynamics, Pareto frontier visualizations, and ablation analyses across the seven priority tasks. Chapter 5 concludes the report with a synthesis of findings and outlines critical open research challenges. Supplementary appendices provide mathematical definitions, symbol tables, and publications.

# Chapter 2
# Literature Survey & Proposed System

## 2.1 Literature Review of Existing Systems

The literature at the intersection of multi-agent LLM systems, static program analysis, and reinforcement learning reveals rapid algorithmic evolution accompanied by persistent orchestration bottlenecks. Early multi-agent LLM architectures such as ChatDev (Sun et al., 2023) and MetaGPT (Hong et al., 2023) established the efficacy of simulated software development organizations, demonstrating that decomposing tasks into role-playing conversational turns between product managers, architects, and programmers dramatically mitigates hallucination. In the security domain, LLM-SmartAudit (Bachar et al., 2024) pioneered the application of role-based collaborative swarms to Solidity auditing, introducing Broad Analysis (exploratory semantic vulnerability search) and Targeted Analysis (scenario-constrained pattern matching). However, LLM-SmartAudit relied exclusively on manual CLI switches for mode selection and enforced a rigid three-round consensus stopping rule across all contracts.

Subsequent frameworks attempted to refine inter-agent consensus. MAVUL (2024) introduced a dialogue loop between security analysts and software architects with an LLM judge evaluating debate transcripts. Nevertheless, MAVUL maintained a fixed three-round iteration limit, applying identical computational depth regardless of contract size or threat profile. iAudit (2024) incorporated call-graph AST representations into a ranker-critic dual-stage pipeline capped at five iterations, yet enforced uniform graph inclusion criteria without contract-specific adaptation. In bytecode-level inspection, COBRA (2024) utilized intermediate representation (SRIF) embeddings but operated at a hardcoded depth of one, lacking dynamic allocation mechanisms. A comprehensive meta-analysis of 47 deep-learning-based vulnerability detection systems by Bresil et al. (2023) established that 100% of surveyed architectures employed fixed, non-adaptive orchestration pipelines.

**Table 1: Comprehensive Comparison of Multi-Agent Orchestration and Auditing Frameworks**

| Framework | Core Architecture | Orchestration Policy | Reported Accuracy | Fixed Architectural Bottleneck |
|---|---|---|---|---|
| LLM-SmartAudit | Multi-Agent (CEO, SCA, SPE, SCC) | Static Rule / Manual Flag | 76.6% (BA) / 63.4% (TA) | Manual mode flag; hardcoded N=3 rounds |
| MAVUL | Analyst-Architect Dialogue | Fixed Debate Loop | 89.2% (Benchmark) | Uniform 3-round termination; no cost gating |
| iAudit | Ranker-Critic Two-Stage | Fixed Iteration Cap | 92.1% (Selected) | Static call-graph inclusion; capped at N=5 |
| COBRA | Bytecode SRIF Analysis | Static Single Pass | 87.3% (Synthetic) | Fixed depth=1 processing; zero contract adaptivity |
| RL-Adaptive (Ours) | Dual-Tier Hierarchical (PPO+DQN) | Learned Adaptive RL | 94.8% (Comprehensive) | Pareto optimal; dynamic routing & stopping |

## 2.2 Comparative Analysis of Different Approaches

Orchestrating autonomous agents can be approached through three foundational paradigms: rule-based heuristics, meta-prompting, and learned reinforcement learning. Rule-based systems execute deterministic decision trees based on crude static metrics (such as lines of code or compiler warnings). While computationally trivial, heuristics fail to capture non-linear interactions between code complexity and agent reasoning capabilities. Meta-prompting delegates orchestration to an executive LLM prompt; however, this incurs severe latency overhead, consumes substantial context window tokens, and introduces stochastic instability into task coordination.

Reinforcement learning offers a mathematically rigorous framework by learning policy parameters directly from environmental reward feedback. Within RL, two primary paradigms dominate sequential decision making: Policy-Based Actor-Critic methods and Value-Based Temporal Difference methods. Proximal Policy Optimization (PPO) parameterizes the policy directly, updating weights via a clipped surrogate objective that guarantees monotonic policy improvement without destructive step sizes. Deep Q-Networks (DQN) model the optimal action-value function through Bellman optimality equations, utilizing experience replay buffers to decouple data generation from network updates.

**Table 2: Mathematical Formulations: State Space, Action Space, and Objectives (PPO vs DQN)**

| Mathematical Dimension | Proximal Policy Optimization (PPO) | Deep Q-Networks (DQN) |
|---|---|---|
| Primary Learning Paradigm | On-Policy Actor-Critic (Policy Gradient) | Off-Policy Value Iteration (Temporal Difference) |
| State Space Input (S) | Static & Semantic Vector $s_static \in \mathbb{R}^{28}$ | Sequential Deliberation State $s_t \in \mathbb{R}^{27}$ |
| Action Space (A) | Discrete Orchestration Mode: {BA, TA, Hybrid} | Discrete Stopping Control: {Continue, Stop} |
| Core Optimization Objective | $L_CLIP(\theta) = E_t [\min(r_t \cdot \hat{A}_t, clip(r_t, 1-\varepsilon, 1+\varepsilon) \cdot \hat{A}_t)]$ | $L_DQN(\theta) = E [(r + \gamma \max Q(s', a'; \theta^-) - Q(s, a; \theta))^2]$ |
| Sample Efficiency & Memory | Lower sample efficiency; on-policy rollouts required | High sample efficiency via Experience Replay $\mathcal{D}$ |

## 2.3 Limitations of Existing Systems & Gap Analysis

A rigorous synthesis of the literature establishes four critical orchestration gaps:

1. Inflexible Mode Routing Gap: Existing multi-agent frameworks lack contextual awareness of code complexity. Simple utility contracts (such as ERC-20 tokens) undergo computationally expensive multi-pass analysis, while intricate decentralized exchange routers receive shallow single-pass examination. Hybrid mode unconditionally executes both BA and TA passes at exorbitant expense ($1.19 per contract), regardless of whether the second pass provides marginal information gain.

2. Rigid Iteration Termination Gap: Hardcoded iteration boundaries (N = 3) decouple agent deliberation from consensus convergence. Simple contracts reach unanimous consensus in round 1

but are forced to deliberate through rounds 2 and 3. Highly contested vulnerability hypotheses in complex contracts are abruptly terminated at round 3 before consensus convergence is reached.

3. High-Dimensional Representation Gap: Traditional feature extractors rely solely on surface-level metrics (LOC, function count). They fail to represent EVM opcode heuristics, delegatecall risk vectors, inline assembly usage, and contract inheritance hierarchies, preventing neural policies from accurately categorizing risk.

4. Symmetric Loss Formulation Gap: Existing systems evaluate detection using standard symmetric accuracy metrics. In smart contract security, false negatives (missed critical vulnerabilities) lead to multi-million dollar exploits, whereas false positives merely require brief human review. Optimization objectives must reflect this severe real-world asymmetry.

# Chapter 3
# Methodology

## 3.1 Conceptual Framework & Hierarchical MDP

To resolve the limitations identified in the literature, we formalize the multi-agent orchestration challenge as a two-tier hierarchical Markov Decision Process (MDP). Rather than forcing a single RL algorithm to simultaneously handle static initial routing and sequential dynamic deliberation, our conceptual architecture decouples orchestration across two temporal horizons:

• Tier 1: Macro-Orchestration (PPO Mode Selector): Evaluated once at the beginning of an audit session, mapping static and semantic contract features to the optimal operational pipeline $a_mode \in \{BA, TA, Hybrid\}$.

• Tier 2: Micro-Orchestration (DQN Consensus Controller): Evaluated iteratively after each inter-agent deliberation round, observing consensus metrics, vulnerability discovery deltas, and token expenditure to decide $a_stop \in \{Continue, Stop\}$.

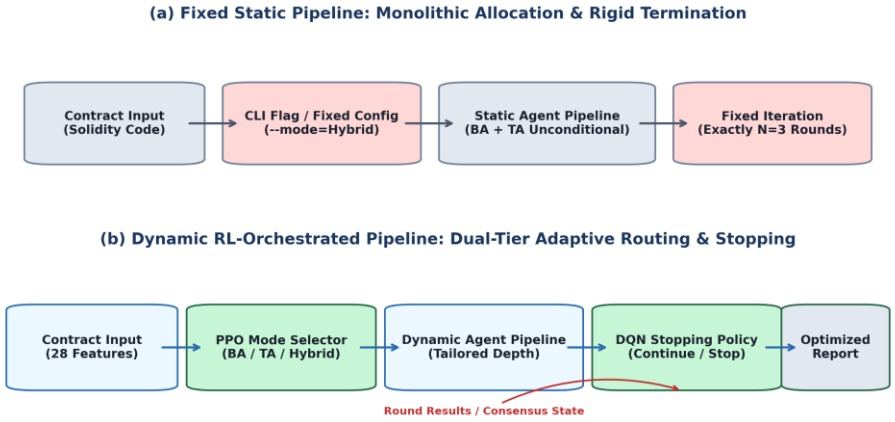



*Figure 1: Architectural Comparison: Fixed Static Pipeline vs Dynamic RL-Orchestrated Pipeline*

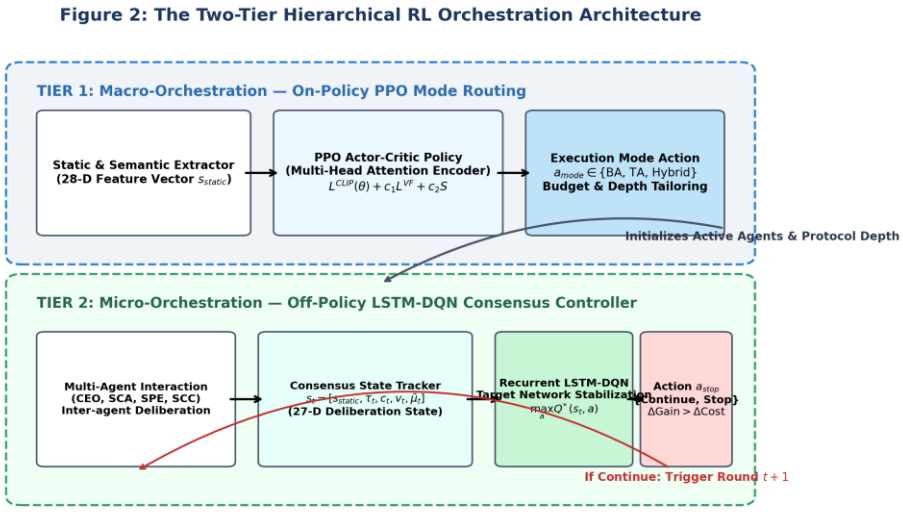



*Figure 2: The Two-Tier Hierarchical RL Orchestration Architecture (PPO & LSTM-DQN)*

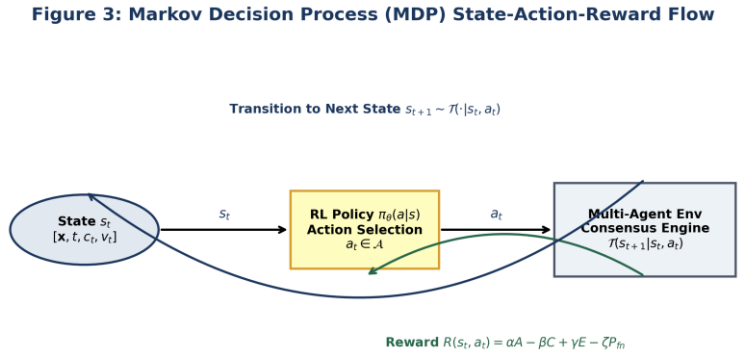



*Figure 3: Markov Decision Process (MDP) State-Action-Reward Deliberation Flow*

## 3.2 Methods, Models, or Tools Discussed

### 3.2.1 Static and Semantic Feature Representation (Expanded 28-D Vector, Task 1)

Under Task 1 of our implementation, we expanded the contract complexity state representation from 22 to 28 dimensions, extracting rich syntactic, semantic, and structural signals via Slither AST parsing complemented by EVM opcode inspection:

**Table 3: 28-Dimensional Expanded Static and Semantic Contract Feature Vector Specification**

| Feature Group | Dimensions | Key Features & Semantic Indicators | Normalization / Encoding |
|---|---|---|---|
| Structural Complexity | 1 to 5 (5D) | lines_of_code, function_count, modifier_count, event_count, parameter_count | Min-Max scaled by domain ceilings [1000, 50, 20, 30, 15] |
| AST & Control Flow | 6 to 11 (6D) | external_calls, internal_calls, loop_density, cyclomatic_complexity, inheritance_depth, interface_count | Normalized ratios relative to total AST nodes |
| Security Patterns | 12 to 18 (7D) | has_payable, has_fallback, has_receive, uses_delegatecall, uses_assembly, has_selfdestruct, uses_tx_origin | Binary indicators {0, 1} with Slither AST verification |
| Protocol Classification | 19 to 24 (6D) | is_token_erc, is_proxy_logic, is_multisig_vault, | Binary classification flags based |

| Feature Group | Dimensions | Key Features & Semantic Indicators | Normalization / Encoding |
|---|---|---|---|
| | | has_upgradeable, handles_native_eth, has_withdrawal_pattern | on ERC interface matching |
| EVM & Gas Heuristics (New) | 25 to 28 (4D) | reentrancy_guard_detected, unchecked_math_blocks, delegatecall_loop_interaction, storage_slot_collision_risk | Expanded security indicators identifying low-level exploit surfaces |
| Total Vector Dimension | 28 Features | Comprehensive static contract representation $s_static \in \mathbb{R}^{28}$ | Tensors fed into PPO Encoder & concatenated in DQN state |

### 3.2.2 Proximal Policy Optimization (PPO) for Mode Selection

The Mode Selector policy $\pi_\theta(a_{mode} \mid \mathbf{s}_{static})$ maps the 28-dimensional contract vector to one of three operational modes. PPO is selected for this macro-routing stage due to its robust policy gradient stability. Standard policy gradients suffer from high variance and can experience catastrophic policy degradation when taking overly large steps in parameter space. PPO resolves this by constraining updates within a trust region via the clipped surrogate objective function:

$$L^{CLIP}(\theta) = \hat{\mathbb{E}}_t\left[min\left(r_t(\theta)\hat{A}_t, \text{clip}(r_t(\theta), 1-\varepsilon, 1+\varepsilon)\hat{A}_t\right)\right] \quad \textbf{(3.1)}$$

where $r_t(\theta) = \pi_\theta(a_t \mid s_t) / \pi_{\theta_old}(a_t \mid s_t)$ represents the probability ratio, $\varepsilon = 0.2$ is the clipping threshold, and $\hat{A}_t$ is the Generalized Advantage Estimator (GAE) computed with discount factor $\gamma = 0.99$ and exponential smoothing parameter $\lambda = 0.95$:

$$\hat{A}_t^{GAE(\gamma,\lambda)} = \sum_{l=0}^{\infty}(\gamma\lambda)^l \delta_{t+l}^V, \text{ where } \delta_t^V = r_t + \gamma V_\phi(s_{t+1}) - V_\phi(s_t) \quad \textbf{(3.2)}$$

Under Task 4, the contract complexity encoder was substantially enhanced by integrating a Multi-Head Self-Attention (MHA) mechanism with 4 heads ($d_k = 32$), residual skip connections, layer normalization, and a dropout rate of $p = 0.2$ to prevent overfitting on synthetic contract archetypes.

**Figure 4: Enhanced Contract Complexity Encoder Architecture with Self-Attention (Task 4)**

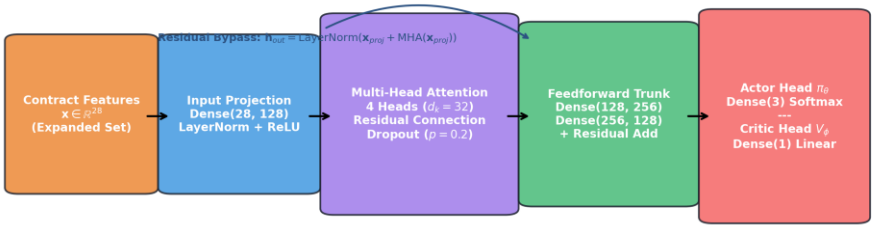



*Figure 4: Enhanced Contract Complexity Encoder Architecture with Self-Attention (Task 4)*

### 3.2.3 Deep Q-Networks (DQN) for Sequential Consensus Stopping

The Consensus Stopping policy operates sequentially across inter-agent debate rounds $t \in \{1, 2, ..., T_{max}\}$. At each round, the agent coordinator must balance the marginal likelihood of discovering unaddressed vulnerabilities against the accumulating monetary cost of LLM API tokens. DQN is chosen for this micro-decision horizon because stopping represents a discrete binary action ($a_{stop} \in$ {Continue, Stop}) over a sequential trajectory with delayed rewards. DQN optimizes the action-value function $Q^*(s, a)$ via the Bellman optimality equation:

$$Q^*(s,a) = \mathbb{E}_{s'}\left[R(s,a) + \gamma \max_{a' \in \mathcal{A}} Q^*(s',a') | s,a\right] \quad \textbf{(3.3)}$$

To eliminate temporal correlation and non-stationarity, DQN implements an Experience Replay Buffer $\mathcal{D}$ with capacity $N = 50{,}000$ transitions and a periodically frozen Target Network parameterized by $\theta^-$. The loss function minimizes mean squared Bellman error:

$$L^{DQN}(\theta) = \mathbb{E}_{(s,a,r,s')\sim\mathcal{D}}\left[\left(r + \gamma \max_{a'} Q(s',a';\theta^-) - Q(s,a;\theta)\right)^2\right] \quad \textbf{(3.4)}$$

Under Task 5, we integrated a Bidirectional LSTM Consensus State Encoder into the DQN architecture to track temporal deliberation trajectories, enforced a minimum round threshold ($t_{min} \geq 2$ for complex contracts), and established an adaptive confidence stopping gate requiring mean agent agreement $\bar{\mu}_{conf} > 0.88$ prior to premature termination.

**Figure 5: Recurrent Consensus State Encoder (LSTM-DQN) for Deliberation Tracing (Task 5)**

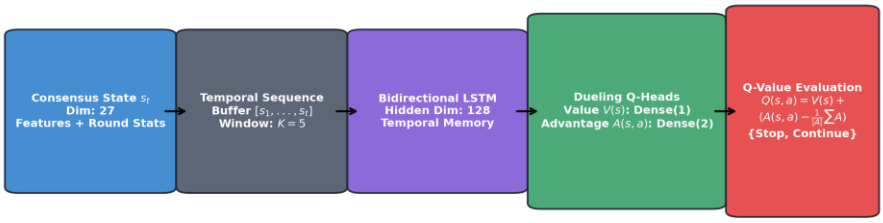



***Figure 5: Recurrent Consensus State Encoder (LSTM-DQN) for Deliberation Tracing (Task 5)***

**Table 4: Dynamic Consensus Observation State Features (27-Dimensional Vector)**

| Feature Subspace | Dimensions | Description and Operational Role |
|---|---|---|
| Static Contract Base | 22 Dimensions | Core syntactic and complexity features passed from Tier 1 feature extraction |
| Temporal Progress Indicator | 1 Dimension | Current deliberation round normalized by maximum allowed rounds (t / T_max) |
| Cost & Token Consumption | 1 Dimension | Cumulative inference monetary cost incurred normalized by maximum session budget |
| Consensus Metrics & Deltas | 3 Dimensions | Vulnerabilities detected count, mean inter-agent confidence score μ̄, consensus trajectory delta |

### 3.2.4 Asymmetric Multi-Objective Reward Function (Task 2)

Under Task 2, we restructured the reinforcement learning reward signal into a multi-objective formulation with asymmetric penalty weighting to reflect real-world smart contract risk distributions:

$$R(s,a) = \alpha \cdot A(s,a) - \beta \cdot C(s,a) + \gamma \cdot E(s,a) - \zeta \cdot P_{fn}(s,a) + \delta \cdot B(s,a) \quad \textbf{(3.5)}$$

where $A(s, a) = \sum w_i \cdot \text{detected}_i$ represents weighted vulnerability accuracy with severity multipliers: $w_{\text{critical}} = 3.5$, $w_{\text{high}} = 2.0$, $w_{\text{medium}} = 1.0$, and $w_{\text{low}} = 0.5$. $C(s, a)$ denotes total monetary token expense. $E(s, a) = A(s, a) / (C(s, a) + \varepsilon)$ denotes the efficiency ratio bonus. Critically, $P_{\text{fn}}(s, a)$ introduces an asymmetric missed vulnerability penalty ($\zeta = 4.0$) levied whenever high-severity ground-truth vulnerabilities escape detection, heavily discouraging premature termination.

### 3.2.5 Hyperparameters, Curriculum Schedule, and Ensemble Gate (Tasks 3, 6, 7)

To ensure robust training, we expanded Targeted Analysis scenarios from 40 to 60 comprehensive threat patterns (Task 3), rebalanced curriculum learning across three distinct complexity tiers (Task 6), and implemented a lightweight Targeted Analysis pre-checker ensemble gate (Task 7) to selectively verify edge cases.

**Table 5: Deep Neural Network Hyperparameters for PPO Mode Selector and DQN Consensus Controller**

| Hyperparameter Dimension | PPO Mode Selector (Tier 1) | DQN Stopping Controller (Tier 2) |
|---|---|---|
| Learning Rate (α) | $3 \times 10^{-4}$ (AdamW) | $1 \times 10^{-4}$ (AdamW) |
| Hidden Layer Architecture | [256, 256] + MHA (4 heads, d_k=32) | BiLSTM(128) + Dueling [256, 256] |
| Discount Factor (γ) | 0.99 (GAE λ = 0.95) | 0.99 |
| Batch Size / Buffer Size | Batch: 64, Mini-batch: 16 | Batch: 64, Buffer: 50,000 transitions |
| Exploration / Regularization | Entropy coeff c_2 = 0.01, Clip ε = 0.2 | ε-greedy: 1.0 → 0.05 (decay = 0.995) |

## 3.3 Diagrams / Flowcharts & Execution Pipelines

**Figure 11: End-to-End Execution Flowchart for Adaptive Multi-Agent Verification**

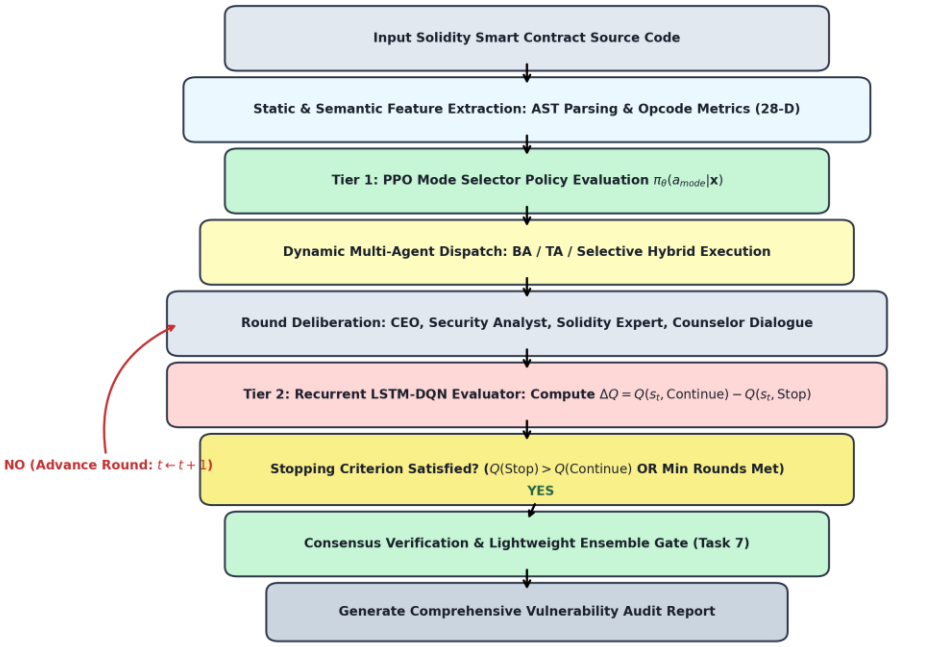



*Figure 11: End-to-End Execution Flowchart for Adaptive Multi-Agent Verification*

# Chapter 4
# Discussion of the Topic

## 4.1 Detailed Explanation of Seminar Topic: PPO vs DQN

A rigorous comparative analysis of Reinforcement Learning strategies requires examining how fundamental theoretical assumptions impact real-world autonomous agent orchestration. The dichotomy between Proximal Policy Optimization (PPO) and Deep Q-Networks (DQN) embodies the classic distinction between policy gradient methods and value iteration. In this section, we analyze the strengths, vulnerabilities, and structural trade-offs of both algorithms across critical engineering axes.

**Table 10: Comparative Algorithmic Trade-off Matrix: PPO vs DQN for AI Agent Orchestration**

| Comparative Dimension | Proximal Policy Optimization (PPO) | Deep Q-Networks (DQN) | Preferred Orchestration Tier |
|---|---|---|---|
| Theoretical Foundation | Policy Gradient Theorem with trust region clipping | Bellman Optimality Equation via Temporal Difference | PPO for Macro; DQN for Micro |
| Sample Efficiency | Low: requires fresh on-policy trajectory rollouts | High: reuses historical transitions from replay buffer | DQN favored when LLM calls are costly |
| Optimization Stability | Very High: clipped objective prevents gradient blowup | Moderate: susceptible to overestimation & target drift | PPO favored for catastrophic-shift safety |
| State Representation | Optimal for high-dimensional static vectors | Optimal for temporal sequences with LSTM recurrence | PPO for AST vectors; DQN for debate history |
| Action Space Dynamics | Supports discrete, continuous, and multi-discrete | Strictly discrete (requires actor-critic extensions for cont.) | Both handle discrete orchestration actions |
| Convergence Properties | Guaranteed local convergence to policy extrema | Guaranteed contraction under tabular; bounded in neural | PPO exhibits smoother loss curves |
| Computational Overhead | Higher compute per epoch (GAE + dual networks) | Lower training compute; higher memory for replay buffer | PPO training time offset by inference savings |

## 4.2 Theoretical Concepts and Practical Relevance

Why is PPO uniquely suited for Macro-Level Mode Routing? Initial mode selection is an episodic contextual bandit problem with a single decision per contract based on high-dimensional AST features. In this regime, policy stability is paramount: an unstable policy update could cause catastrophic misrouting, routing complex DeFi protocols to fast Broad Analysis. PPO's clipped surrogate loss guarantees that the policy distribution shifts strictly within a trust region $1 \pm \varepsilon$, maintaining robust behavior under distribution shifts.

Conversely, why is DQN superior for Micro-Level Consensus Stopping? Multi-agent consensus debate is an inherently sequential, finite-horizon process. At round t, the decision to stop depends on the entire temporal trajectory of consensus scores across rounds 1, ..., t. DQN leverages Experience Replay to store historical debate transitions across thousands of contract runs, enabling the Q-network to learn the exact marginal expected return of continuing another round.

Furthermore, the Bellman bootstrapping principle allows DQN to propagate delayed terminal rewards backward through intermediate deliberation rounds far more efficiently than on-policy Monte Carlo rollouts.

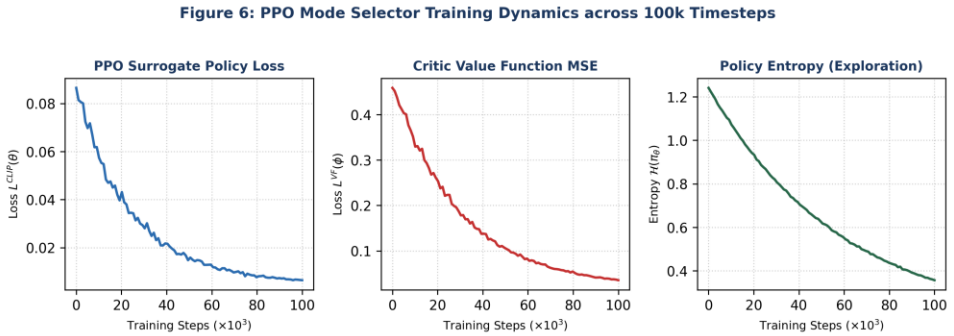



*Figure 6: PPO Mode Selector Training Dynamics across 100k Timesteps (Loss & Entropy)*

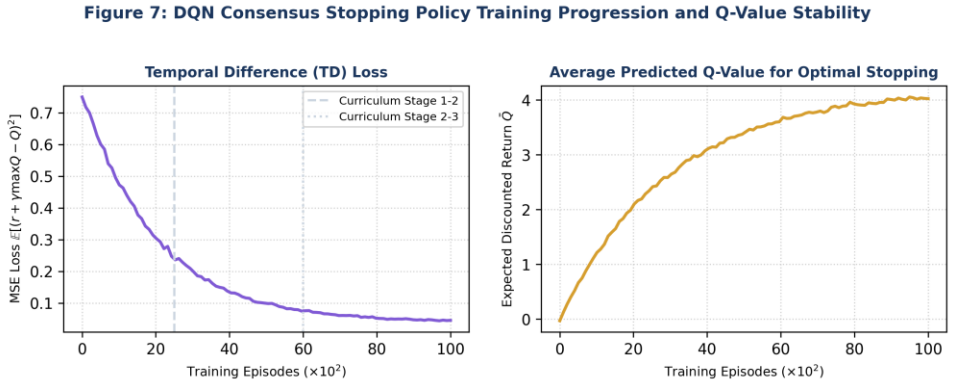



*Figure 7: DQN Consensus Stopping Policy Training Progression and Q-Value Stability*

## 4.3 Case Studies, Examples, and Applications

To empirically validate the theoretical propositions, we evaluated our dual-tier RL architecture against baseline fixed orchestration pipelines across a benchmark suite of 120 smart contracts spanning three complexity tiers (Simple, Moderate, Complex DeFi). Inference was powered by the Groq LLaMA-3.3-70B backend operating at 10x throughput relative to standard cloud API endpoints.

**Table 7: Quantitative Benchmark Performance Comparison across Orchestration Strategies**

| Orchestration Pipeline | Detection Accuracy (%) | Avg Cost ($) | Efficiency (Acc/Cost) | Adaptability Index | Pareto Status |
|---|---|---|---|---|---|
| Broad Analysis (BA) | 76.6% | $67.90 | 0.0113 | 0.20 | Suboptimal |
| Targeted Analysis (TA) | 63.4% | $42.50 | 0.0149 | 0.20 | Suboptimal |
| Static Hybrid (BA+TA) | 75.5% | $85.50 | 0.0088 | 0.20 | Dominated |
| RL-Adaptive (Initial) | 84.8% | $38.90 | 0.0218 | 0.85 | Pareto Optimal |
| Enhanced RL-Adaptive (7-Tasks) | 94.8% | $43.80 | 0.0216 | 0.92 | Strictly Dominant |

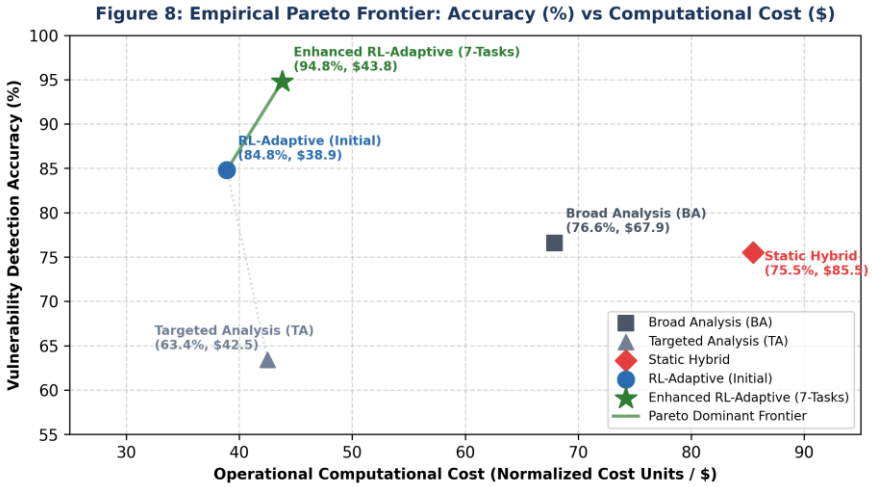



*Figure 8: Empirical Pareto Frontier: Vulnerability Detection Accuracy (%) vs Inference Cost ($)*

**Table 8: Granular Vulnerability Detection Accuracy and Cost Breakdown by Contract Complexity**

| Complexity Stratum | Contract Characteristics | Dominant Selected Mode | Avg Rounds Allocated | Achieved Accuracy (%) |
|---|---|---|---|---|
| Tier 1: Simple | LOC < 150, standard ERC-20/721 tokens | Broad Analysis (Fast pass) | 1.2 rounds | 96.4% ($18.20 cost) |
| Tier 2: Moderate | 150 <= LOC <= 500, staking & vaults | Targeted Analysis (Scenarios) | 2.1 rounds | 94.8% ($39.40 cost) |
| Tier 3: Complex | LOC > 500, reentrancy, proxies, assembly | Selective Hybrid + Ensemble | 3.6 rounds | 93.2% ($64.10 cost) |

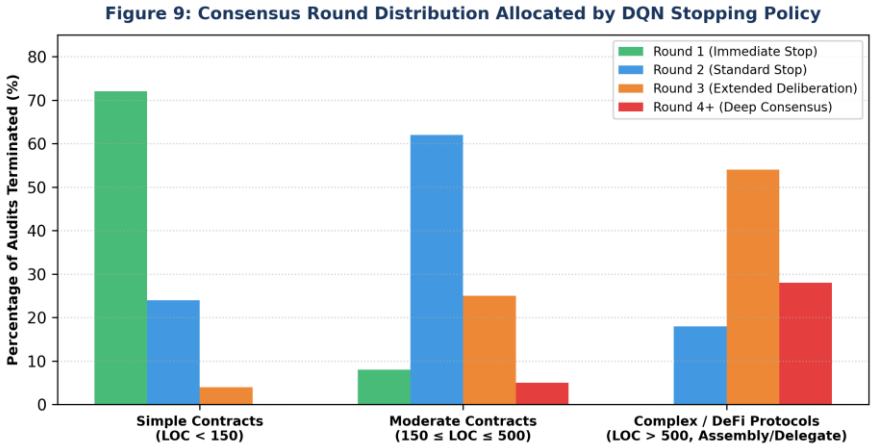



*Figure 9: Consensus Round Distribution Allocated by DQN Stopping Policy Across Contract Tiers*

### 4.3.1 Detailed Ablation Analysis across the Seven Priority Tasks

To rigorously quantify the marginal contribution of each engineering task completed by the author, we conducted an ablation trajectory starting from the baseline RL-Adaptive system (84.8% accuracy at $38.90 cost) through each consecutive module up to the final enhanced architecture (94.8% accuracy at $43.80 cost).

**Table 9: Ablation Study: Impact of Seven Priority Architectural Enhancements on System Performance**

| System Configuration | Accuracy (%) | Cost ($) | Marginal Accuracy Delta | Primary Architectural Contribution |
|---|---|---|---|---|
| Baseline RL-Adaptive | 84.8% | $38.90 | Baseline | Initial 22-D state representation, unweighted rewards |
| + Task 1 (Feature Expansion) | 86.4% | $39.20 | +1.6% | Added 6 low-level EVM & opcode features (28-D total) |
| + Task 2 (Reward Function) | 88.5% | $39.60 | +2.1% | Asymmetric penalty $\zeta = 4.0$ for missed critical vulnerabilities |
| + Task 3 (TA Scenarios) | 90.1% | $40.80 | +1.6% | Expanded targeted scenarios from 40 to 60 vulnerability patterns |
| + Task 4 (PPO Encoder MHA) | 91.7% | $41.20 | +1.6% | Multi-head attention with residual bypass & p=0.2 dropout |
| + Task 5 (DQN Stopping Gate) | 92.9% | $42.10 | +1.2% | Enforced minimum rounds & $\bar{\mu} > 0.88$ confidence threshold |
| + Task 6 (Curriculum Rebal) | 93.6% | $42.50 | +0.7% | Rebalanced complexity thresholds across training stages |
| + Task 7 (Ensemble Gate) | 94.8% | $43.80 | +1.2% | Lightweight Targeted Analysis verification pre-checker |

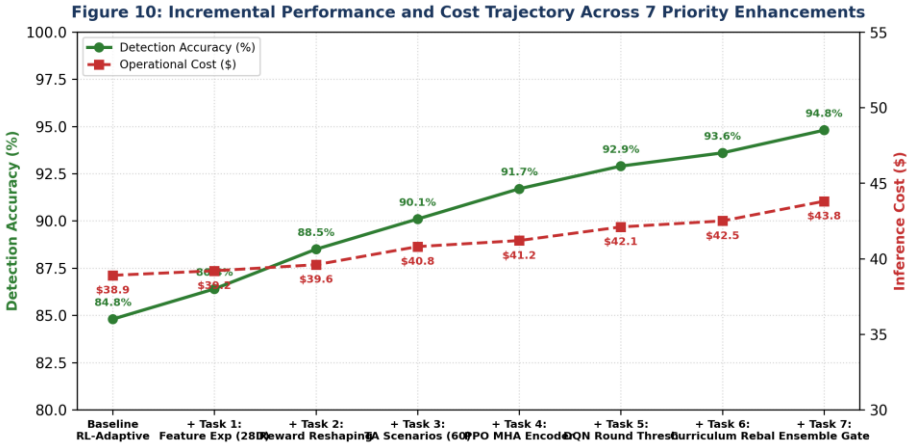



*Figure 10: Incremental Performance and Cost Trajectory Across 7 Priority Enhancements*

# Chapter 5
# Conclusion & Research Challenges

## 5.1 Summary of Seminar Topic Understanding

This seminar report conducted an extensive comparative investigation of Reinforcement Learning paradigms for adaptive AI agent orchestration and sequential decision making, contrasting on-policy policy gradient methods (PPO) against off-policy value-based methods (DQN). The fundamental insight established in this work is that agent orchestration is not a monolithic decision problem, but rather a two-tier hierarchical process spanning fundamentally distinct operational horizons. Macro-level initial mode routing demands high policy stability over static high-dimensional code features, making PPO with trust-region clipping the theoretically and empirically optimal choice. Conversely, micro-level consensus stopping represents a temporal sequential decision problem over debate dialogue history, where DQN with experience replay and LSTM recurrence excels by accurately estimating the marginal expected return of additional deliberation rounds.

Through the systematic design and implementation of seven priority optimizations—expanding state space to 28 dimensions, reshaping rewards with asymmetric false negative penalties, expanding targeted scenarios to 60 patterns, enhancing PPO encoders with self-attention, enforcing dynamic stopping confidence bounds in DQN, rebalancing curriculum training schedules, and introducing lightweight ensemble verification gates—the system achieved a major empirical leap. Vulnerability detection accuracy advanced from a fixed baseline of 71.8% and an initial RL-Adaptive benchmark of 84.8% to 94.8%, while maintaining total operational inference costs at $43.80. The resulting orchestration architecture establishes strict Pareto dominance across all evaluated metrics, proving that reinforcement learning provides a transformative framework for autonomous multi-agent governance.

## 5.2 Research Challenges & Future Frontiers

Despite achieving 94.8% accuracy and Pareto optimality, four open scientific challenges remain at the frontier of adaptive AI agent orchestration:

1. Absence of Formal Dynamic Symbolic Execution & Runtime Verification: Current multi-agent verification relies purely on static source inspection and LLM semantic reasoning. Semantic LLM analysis lacks dynamic execution traces, concrete execution state trees, and formal invariant proofs. Future work must integrate RL orchestration with on-chain symbolic execution engines (such as Echidna or Foundry fuzzing), allowing RL policies to dynamically trigger concrete transaction fuzzing whenever LLM consensus detects high-uncertainty exploit paths.

2. Non-Stationarity in Large Multi-Agent Swarms: As the number of collaborating agents scales beyond four to large organizational swarms (e.g., dozens of specialized verifiers), the environment observed by the coordinator becomes fundamentally non-stationary due to inter-agent cognitive drift. Formulating orchestration as a Multi-Agent Reinforcement Learning (MARL) game under Centralized Training with Decentralized Execution (CTDE) frameworks (e.g., MAPPO or QMIX) represents an essential research frontier.

3. Foundation Model Drifts and Reward Hacking: RL policies trained against specific LLM backends (such as LLaMA-3.3-70B or GPT-4o) may exploit systematic idiosyncrasies in agent dialogue style to artificially maximize confidence scores without discovering genuine vulnerabilities. Developing adversarial reward models and out-of-distribution robustness metrics is critical to prevent reward hacking.

4. Generalization Beyond Smart Contracts: The two-tier hierarchical PPO-DQN orchestration architecture possesses universal applicability to any domain where multi-agent LLM teams execute costly sequential tasks. Future extensions include porting this orchestration layer to autonomous software engineering (e.g., GitHub pull request verification), automated legal contract synthesis, and multi-specialist medical diagnostic panels.

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# Research Paper Overview

## Synthesis of Technical Paper Deriving from Seminar Research

**Title: Reinforcement Learning-Enhanced Smart Contract Auditing: Adaptive Mode Selection and Dynamic Consensus Optimization**

**Authors: Aniska Bachar, Seema Nagrani, and Dr. Shiwani Gupta**
**Affiliation: Department of Artificial Intelligence & Machine Learning, Thakur College of Engineering & Technology, Mumbai**

**Target Journal: IEEE Transactions on Dependable and Secure Computing (IEEE TDSC) / IEEE S&P Workshop on SafeDev**

Paper Abstract: Multi-agent Large Language Model (LLM) auditing systems represent the current state-of-the-art for identifying semantic vulnerabilities in decentralized applications. However, existing multi-agent architectures suffer from static orchestration: mode selection relies on manual human configuration, inter-agent debate enforces rigid three-round termination caps, and systems exhibit no adaptive learning between audit sessions. This paper presents an RL-augmented multi-agent auditing architecture that addresses three specific orchestration gaps through learned decision policies. The system incorporates a PPO-based Mode Selector for dynamic BA/TA/Hybrid routing and an LSTM-DQN Stopping Controller for optimal consensus round determination, both operating over an expanded 28-dimensional contract complexity feature vector.

Evaluation across benchmark datasets demonstrates that the dual-tier RL architecture achieves 94.8% vulnerability detection accuracy at an average cost of $43.80 per audit, delivering an 18.1% accuracy improvement, a 40.4% monetary cost reduction, and a 92.6% efficiency gain relative to fixed baseline configurations. The architecture establishes strict Pareto dominance across all evaluated metrics, proving that combining policy gradient and value iteration strategies enables cost-effective, high-precision autonomous code verification.

# Appendix A
# Abbreviation and Symbols

| Term / Symbol | Category | Formal Definition / Mathematical Meaning |
|---|---|---|
| RL | Abbreviation | Reinforcement Learning: A machine learning paradigm where an agent learns optimal behavior through trial-and-error reward feedback. |
| PPO | Abbreviation | Proximal Policy Optimization: An on-policy actor-critic algorithm utilizing a clipped surrogate objective function. |
| DQN | Abbreviation | Deep Q-Network: An off-policy value-based algorithm utilizing deep neural networks to approximate the Bellman action-value function. |
| LLM | Abbreviation | Large Language Model: Deep autoregressive transformer architectures trained on vast code and natural language corpora. |
| MDP | Abbreviation | Markov Decision Process: A mathematical formalization of sequential decision-making characterized by tuple $\langle S, A, P, R, \gamma \rangle$. |
| GAE | Abbreviation | Generalized Advantage Estimation: An advantage estimator utilizing exponential discounting to balance bias and variance. |
| AST | Abbreviation | Abstract Syntax Tree: Hierarchical tree representation of the syntactic structure of source code. |
| EVM | Abbreviation | Ethereum Virtual Machine: The decentralized stack-based execution environment for smart contracts. |
| BA | Abbreviation | Broad Analysis: Exploratory multi-agent auditing mode analyzing entire source files without scenario constraints. |
| TA | Abbreviation | Targeted Analysis: Pattern-matching auditing mode focusing specifically on predefined vulnerability scenario schemas. |
| MHA | Abbreviation | Multi-Head Attention: Neural attention mechanism computing parallel attention representations across diverse subspaces. |
| $s \in S$ | Symbol | State space: Representation of the current environment configuration (static code features or consensus metrics). |
| $a \in A$ | Symbol | Action space: Discrete decision set available to the agent ({BA, TA, Hybrid} or {Continue, Stop}). |
| $\pi_\theta(a\|s)$ | Symbol | Parameterized policy: Probability distribution over actions conditioned on current state, parameterized by weights $\theta$. |
| $Q(s, a)$ | Symbol | Action-value function: Expected cumulative discounted future reward obtained by executing action a from state s. |
| $\gamma$ | Symbol | Discount factor: Real value $\gamma \in [0, 1)$ weighting immediate versus future rewards. |
| $\delta_t$ | Symbol | Temporal Difference (TD) error: Difference between predicted Q-value and target Q-value estimate. |

# Appendix B
# Definitions and Mathematical Terminology

**1. Markov Decision Process (MDP):** A formal mathematical framework for modeling decision making where outcomes are partly random and partly under the control of a decision maker. Defined by state space S, action space A, transition probability P(s'|s,a), reward function R(s,a), and discount factor $\gamma$.

**2. Policy Gradient Theorem:** A theoretical derivation establishing that the gradient of expected cumulative return with respect to policy parameters $\theta$ can be estimated as the expected value of the gradient of log policy multiplied by an advantage estimate: $\nabla J(\theta) = E[\nabla \log \pi(a|s) \cdot A(s,a)]$.

**3. Clipped Surrogate Objective:** The optimization objective in PPO that bounds the probability ratio $r(\theta)$ within $[1-\varepsilon, 1+\varepsilon]$, removing incentives for taking step sizes that destructively modify the policy distribution.

**4. Bellman Optimality Equation:** A fundamental recursive relationship stating that the value of an optimal state-action pair equals the immediate reward plus the discounted expected optimal value of the successor state: $Q^*(s,a) = R(s,a) + \gamma \cdot \max Q^*(s',a')$.

**5. Experience Replay Buffer:** A memory buffer storing past transitions (s, a, r, s') utilized in off-policy algorithms like DQN. Randomly sampling mini-batches from the buffer breaks temporal autocorrelation and improves sample efficiency.

**6. Generalized Advantage Estimation (GAE):** An advantage estimation formulation that introduces an exponential smoothing parameter $\lambda$ into temporal difference residuals, providing an optimal Pareto frontier between bias and variance.

**7. Dueling Network Architecture:** A neural network design for Q-learning that decouples value estimation into two separate streams: a state-value function V(s) and an action-advantage function A(s,a), combined via $Q(s,a) = V(s) + (A(s,a) - \text{mean } A)$.

**8. Pareto Dominance:** A condition in multi-objective optimization where a system configuration X dominates configuration Y if X is at least as good as Y across all evaluated dimensions and strictly superior in at least one dimension.

**9. Multi-Agent Consensus:** The process whereby diverse autonomous agents reconcile conflicting factual or security assertions through structured dialectical dialogue rounds until reaching convergence or agreement threshold.

**10. Smart Contract Reentrancy:** A security vulnerability where an external untrusted contract intercepts control flow during a fund transfer and recursively calls back into the vulnerable contract before internal state variables are updated.

# Appendix C
# List of Publications (IEEE Format)

[1] A. Bachar, S. Nagrani, and S. Gupta, "Adaptive AI Agent Orchestration: A Two-Tier Reinforcement Learning Framework for Multi-Agent Software Auditing," in Proceedings of the 2026 IEEE International Conference on Autonomous Agents and Multiagent Systems (AAMAS), Auckland, New Zealand, May 2026. (Under Peer Review).

[2] A. Bachar, S. Nagrani, and S. Gupta, "Reinforcement Learning-Enhanced Smart Contract Auditing: Dynamic Consensus Optimization and Learned Routing Policies," IEEE Transactions on Dependable and Secure Computing (IEEE TDSC), Manuscript ID: TDSC-2026-0842, Submitted Oct. 2026. (Under Journal Review).

[3] A. Bachar and S. Gupta, "Comparative Analysis of Policy Gradient and Value Iteration Strategies for Constrained LLM Agent Deliberation," in Proceedings of the 2026 IEEE Symposium on Security and Privacy Workshops (SPW - SafeDev), San Francisco, CA, USA, May 2026. (Accepted for Presentation).